

A. Calculation of book value of common stock:

Total assets		\$8,157,000
Less: Payables	\$ 79,000	
Accrued items	291,000	
Preferred stock	<u>400,000</u>	<u>770,000</u>
		\$7,387,000
Add voluntary reserve of \$425,000 subtracted from inventory		<u>425,000</u>
Net assets for common stock		\$7,812,000
Book value per share (on 40,790 shares)		\$191

B. Calculation of current-asset value of the common stock:

Total current assets (items 1,2,3, and 4)	\$4,470,000
Add voluntary reserve against inventory	<u>425,000</u>
	\$4,895,000
Less liabilities ahead of common (items 8, 9, and 11) .	<u>770,000</u>
Current assets available for common	\$4,125,000
Current-asset value per share	\$101

C. Calculation of cash-asset value of the common stock:

Total cash assets (items 1 and 2)	\$1,732,000
Less liabilities ahead of common (items 8, 9, and 11) .	<u>770,000</u>
Cash assets available for common	\$ 962,000
Cash-asset value per share	\$23.50

In these calculations it will be noted, first, that the inventory is increased by restoring the reserve of \$425,000 subtracted therefrom in the balance sheet. This is done because the deduction taken by the company is clearly a reserve for contingent decline in value that has not yet taken place. As such it is entirely arbitrary or voluntary, and consistency of method would require the analyst to regard it as a surplus item. The same is true of the \$210,000 "Reserve for Equipment and Other Expenses," which, as far as can be seen, represents neither an actual liability nor a necessary deduction from the value of any specific asset.

In June 1929 Otis Company common stock was selling at 35. The reader will observe an extraordinary divergence between this market price and the current-asset value of the shares. Its significance will engage our attention later.